Hormuz Shock, Afternoon Rescue

Markets plunge 2.5% on Strait closure, then rally 800 Dow points after Trump pledges Navy escorts. S&P erases all 2026 gains.

THE SESSION

The Dow plunged more than 1,200 points at its worst — then clawed back two-thirds of the damage by the close. Day four of the U.S.-Iran conflict delivered exactly the kind of session that separates owners from speculators. Markets opened into a wall of selling as reports confirmed Iran had effectively closed the Strait of Hormuz to all vessel traffic, threatening roughly one-fifth of the world's oil and LNG supply. WTI crude surged 8% to $77, the VIX spiked nearly 10% to 23.57, and the S&P 500 cratered 2.5% before finding its footing. The Russell 2000 bore the heaviest weight, finishing down 1.79% as small-cap names absorbed the inflation anxiety most directly.

The cavalry arrived mid-afternoon via Truth Social. President Trump announced the U.S. Navy would escort tankers through the Strait of Hormuz and that the Development Finance Corporation would provide political-risk insurance for all maritime energy trade through the Gulf. Oil pared gains. Stocks rallied hard off the lows. The Dow recovered 800 points in the final hours, finishing down 403 points (−0.83%) instead of the 1,200-point disaster that looked inevitable at lunch. The S&P closed at 6,816.63 (−0.94%), erasing all 2026 gains and hitting a three-month low. The Nasdaq settled at 22,516.69 (−1.02%).

Gold reversed a four-day haven rally, falling as much as 4% intraday before settling up modestly (+0.80%) as the dollar strengthened. Bitcoin slid 0.77% to $67,812 — losing its war premium as risk assets broadly repriced. The real story wasn't the sell-off. It was the recovery. Dip-buyers stepped in for the second straight session, demonstrating that this market, while nervous, is not panicking. The pattern from Monday repeated: ugly open, violent intraday reversal, close well off the lows. That's not capitulation. That's a market stress-testing its floor.

IOWN HOLDINGS: NOTABLE MOVERS

Winners

FTNT (Fortinet) +2.42% to $81.10 — The session's standout. Cybersecurity demand is structurally immune to oil prices, and CEO Ken Xie presented at the Morgan Stanley TMT Conference, reinforcing 13% billings growth guidance. In a sea of red, cyber defense held firm.

VLO (Valero) +1.30% to $217.71 — The lone energy refiner did exactly what it should during an oil supply shock. Refining margins widen when crude surges, and Valero's Gulf Coast complex is positioned for this scenario.

BKH (Black Hills) +1.10% to $74.30 — Regulated utility quietly added a point while the world burned. Rate-regulated earnings don't care about Hormuz.

A (Agilent) +0.74% to $119.04 — Life sciences held up as investors rotated into non-cyclical names. Bounced strongly off a $115 intraday low.

ADP +0.60% to $216.27 — Payroll processing is about as far from geopolitical risk as you can get. The kind of boring, essential-services compounder that earns its place in volatile sessions.

Losers

GFI (Gold Fields) −11.58% to $51.21 — The day's biggest casualty. Gapped down hard as gold reversed its four-day haven rally. The dollar strengthening crushed gold miners — silver fell 6%, platinum 10%. Strong fundamentals (adjusted FCF up 391% in 2025) were irrelevant in a liquidation session.

HUT (Hut 8) −9.71% to $47.60 — Bitcoin miners absorbed the full force of crypto weakness. BTC down only 0.77%, but HUT acts as leveraged downside exposure. Opened at $51.14, never recovered.

MARA (Marathon Digital) −8.36% to $8.66 — Same thesis as HUT. Crypto miners sell off harder than the underlying asset in risk-off environments.

FINV (FinVolution) −7.68% to $5.29 — Chinese fintech hit by broad emerging-market weakness as EM risk repriced across the board.

AEM (Agnico Eagle) −7.01% to $234.52 — Another gold miner casualty of the precious metals reversal. Despite gold closing up slightly, miners priced in the violent 4% intraday drawdown.

Also notable: CAT (−4.01%) was the Dow's biggest laggard — tariff headwinds of $2.6B expected in 2026 plus cyclical industrial selling drove the $30 decline to $722.18. LRCX (−5.94%) led the semiconductor rout as South Korean LNG import fears pressured chip equipment. TSM (−4.33%), NXPI (−4.23%), and ADI (−3.81%) were swept up in the same semi sell-off. ATAT (−5.93%) dropped on Argentine EM contagion.

HOLDINGS NEWS

Fortinet CEO Ken Xie and CFO Christiane Ohlgart presented at the Morgan Stanley TMT Conference, reiterating the company's consolidation thesis. Wells Fargo initiated coverage with an Underweight rating and $64 target — the stock shrugged off the downgrade and finished as the day's top gainer (+2.42%).

Caterpillar faces an estimated $2.6B in tariff costs for 2026 ($800M in Q1 alone). Despite a record $51B backlog driven by data center construction, the stock traded at its lowest since mid-January as analysts flagged overvaluation.

Lam Research sold off 5.9% after South Korean fears about surging LNG costs pressured memory chip stocks. As a key supplier to SK Hynix and Samsung, LRCX absorbed the full downstream anxiety. CFO Doug Bettinger also presented at the Morgan Stanley TMT Conference.

BOTTOM LINE

Today was a textbook stress test of diversified ownership. While gold miners bled, Fortinet rallied. While semis cratered, ADP and BKH quietly compounded. The IOWN portfolio held names that went up 2.4% and names that went down 11.6% — on the same day, for entirely different reasons. That's not a portfolio problem. That's the portfolio working exactly as designed. Think Like an Owner: when the market hands you a day like today, the question isn't "what's selling off?" — it's "do I still want to own these businesses at these prices?" For every name on the list, the answer remains yes.